

Regional Performance Report, Q3 2026

Net sales, orders, returns and store results for July 1 to September 30, 2026

Document	RPT-REG-2026Q3	Owner	Regional Operations and Finance
Version	1.0	Audience	Regional Operations Directors, store managers, merchants, executive team
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1. Executive summary

Lumen Retail Group's loyalty members placed 1,079 orders in the third quarter of 2026, worth \$207,067 in net sales, +1.2% against the third quarter of 2025. The average order value was \$192.

- Growth.** Northeast grew fastest, at +14.4% year over year, to \$37,736. Southeast was the slowest region at -12.4%.
- Largest region.** E-commerce had the highest net sales of any region at \$57,370, which is 27.7% of the chain.
- Returns.** Returned value was \$20,010, a return rate of 9.7% of net sales. E-commerce had the highest regional return rate at 12.0%.
- Top physical store.** San Francisco Union Square (S21) led all physical stores with \$19,982 in net sales.
- Plan.** 3 of 7 categories finished below their Q3 net sales plan; 4 finished above it.

How to read this report: figures come from Lumen's loyalty-member order tables (stores, customers, orders, order_items, returns) as of September 30, 2026. Definitions are in section 7. Dollar amounts are US dollars.

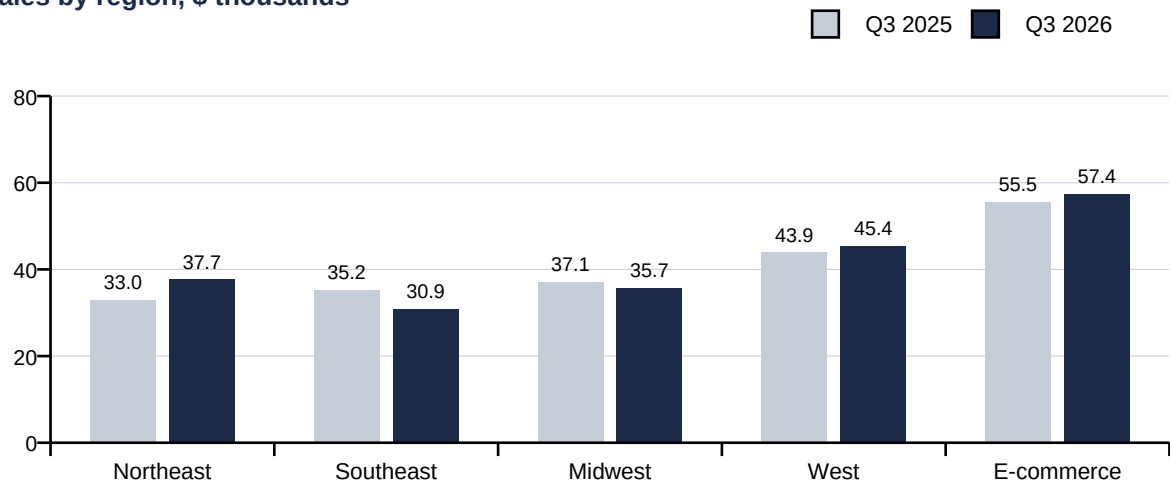
2. Net sales by region

Table 1. Q3 2026 results by region

Region	Stores	Q3 2026 net sales	Q3 2025 net sales	YoY	Orders	Avg order value	Returned value	Return rate
Northeast	6	\$37,736	\$32,988	+14.4%	209	\$181	\$1,969	5.2%
Southeast	6	\$30,865	\$35,215	-12.4%	158	\$195	\$3,682	11.9%
Midwest	6	\$35,699	\$37,082	-3.7%	176	\$203	\$3,445	9.6%
West	6	\$45,396	\$43,869	+3.5%	245	\$185	\$4,043	8.9%
E-commerce	Online	\$57,370	\$55,491	+3.4%	291	\$197	\$6,871	12.0%
Total	24	\$207,067	\$204,645	+1.2%	1,079	\$192	\$20,010	9.7%

Net sales are after discounts and before returns. Return rate is returned value divided by net sales.

Net sales by region, \$ thousands



Northeast was the growth leader at +14.4%. West followed at +3.5%, and E-commerce at +3.4%. E-commerce, which is reported as its own region, accounted for 27.7% of net sales. Southeast fell short of the chain at -12.4%; regional operations will review its promotion calendar and Q4 labor plan before the holiday season.

3. Store results

The five physical stores with the highest Q3 net sales are shown below. E-commerce is excluded from the ranking because it is not a store. The four flagship stores (S01, S07, S13 and S21) together produced 37.7% of physical store net sales.

Table 2. Five physical stores with the highest Q3 2026 net sales

Rank	Store ID	Store	Region	Net sales	Orders	Return rate
1	S21	San Francisco Union Square	West	\$19,982	94	6.8%
2	S13	Chicago Loop	Midwest	\$15,651	74	12.5%
3	S07	Atlanta Midtown	Southeast	\$12,374	57	6.1%
4	S06	Newark Gateway	Northeast	\$10,911	49	10.4%
5	S01	Boston Seaport	Northeast	\$8,413	46	2.7%

The newest store, Denver Cherry Creek (S24), opened on August 15, 2025. It delivered \$2,160 in net sales in Q3 2026, against \$840 in Q3 2025, when it traded for only six weeks.

4. Category results against plan

Plan targets come from the merchandising plan workbook (category targets sheet). Variance is actual net sales against the Q3 2026 target; a negative number means the category missed its plan.

Table 3. Q3 2026 net sales against plan, and return rate, by category

Category	Q3 net sales	Q3 plan	Variance	Return rate
Electronics	\$47,733	\$52,000	-8.2%	16.7%
Furniture	\$42,181	\$40,500	+4.2%	6.8%
Home Decor	\$25,227	\$23,700	+6.4%	7.9%
Kitchen & Dining	\$33,670	\$36,000	-6.5%	5.2%
Bedding & Bath	\$19,844	\$19,400	+2.3%	8.8%
Apparel	\$11,363	\$11,800	-3.7%	14.5%
Outdoor & Garden	\$27,048	\$25,200	+7.3%	7.4%
Total	\$207,067	\$208,600	-0.7%	9.7%

Variance is net sales against the Q3 2026 target (negative: below plan).

Electronics (-8.2%), Kitchen & Dining (-6.5%) and Apparel (-3.7%) finished below plan; Outdoor & Garden, Home Decor, Furniture and Bedding & Bath beat it.

5. Returns

Returned value in Q3 2026 was \$20,010 on 174 return records, against \$23,172 in Q3 2025. Three observations matter for the Q4 plan:

- **Electronics.** Electronics returned value was 16.7% of Electronics net sales, the highest of any category. Chicago Loop (S13) processed 11 Electronics returns in the quarter, the most of any physical store and 3.7 times the next highest. 6 of 11 of them were returned opened, which is the condition that carries a restocking fee.
- **Enhanced monitoring stores.** The three stores that Asset Protection placed on enhanced return monitoring in August (S06 Newark Gateway, S16 Indianapolis Fashion Mall and S22 Los Angeles Westside) processed 37 returns worth \$3,592, which is 18.0% of the chain's returned value.
- **Online.** Returns processed through Lumen.com were 34.3% of returned value.

Table 4. Q3 2026 returns by condition

Condition	Return records	Returned value	Share of returned value
Opened or used	91	\$10,116	50.6%
Unopened or unused	61	\$6,309	31.5%
Defective or damaged	22	\$3,584	17.9%

6. Outlook and actions

1. Regional Operations Directors review store-level return rates monthly and report stores above 1.5 times the chain rate to Asset Protection.

2. Merchandising reviews the Electronics range at the Chicago Loop flagship ahead of the holiday gift guide and considers a shorter display-model rotation.
3. Planning rebases the Q4 category targets once the Fall Home Refresh results are in (see the Q3 merchandising review).
4. The West and Northeast regional teams share the practices behind their Q3 results with the other regions.

7. Methodology and definitions

- **Source and scope.** The sales database's loyalty-member order tables, as of September 30, 2026. Orders placed by customers who are not Lumen Rewards members are not in the extract, so absolute dollars understate chain totals.
- **Quarters.** Fiscal quarters follow the calendar year. Q3 2026 is July 1 to September 30, 2026; Q3 2025 is July 1 to September 30, 2025.
- **Net sales.** The sum of order net amounts (after discounts, before returns). Orders are assigned to the region of the store that took the order; orders placed on Lumen.com are assigned to E-commerce.
- **Returned value.** The value of returned items before any restocking fee, by return date, and assigned to the region of the store that processed the return. Online-order returns made in a store belong to that store.
- **Return rate.** Returned value divided by net sales for the same region and quarter. It is a flow ratio: returns in a quarter include items bought in the previous quarter.
- **Average order value.** Net sales divided by the number of orders.